

NOTES

forming part of the standalone financial statements

8. Other financial assets

[Item No. I(g)(iv) and II(b)(vii), Page F24]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Security Deposits		
Considered good - Unsecured	284.86	265.48
Considered doubtful - Unsecured	115.68	115.83
Less: Allowances for credit losses	115.68	115.83
	284.86	265.48
(b) Interest accrued on deposits and loans		
Considered good - Unsecured	-	569.55
Credit impaired	3,372.42	2,580.34
Less: Allowances for credit losses	3,372.42	2,580.34
	-	569.55
(c) Earmarked Balances with banks	95.99	105.60
(d) Others		
Considered good - Unsecured	971.98	1,074.95
	1,352.83	2,015.58

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Security Deposits		
Considered good - Unsecured	32.85	54.47
Considered doubtful - Unsecured	2.28	2.28
Less: Allowances for credit losses	2.28	2.28
	32.85	54.47
(b) Interest accrued on deposits and loans		
Considered good - Unsecured	63.65	143.63
Credit impaired	14.30	14.66
Less: Allowances for credit losses	14.30	14.66
	63.65	143.63
(c) Earmarked Balances with banks	98.57	-
(d) Others		
Considered good - Unsecured	852.10	965.48
Considered doubtful - Unsecured	143.94	144.25
Less: Allowances for credit losses	143.94	144.25
	852.10	965.48
	1,047.17	1,163.58

- (i) Security deposits are primarily in relation to public utility services and rental agreements. It includes deposits with Tata Sons Private Limited ₹11.25 crore (March 31, 2025: ₹11.25 crore).

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8. Other financial assets (Contd.)

[Item No. I(g)(iv) and II(b)(vii), Page F24]

- (ii) Non-current and current earmarked balances with banks represent deposits in escrow account. These are primarily placed as security with government bodies, margin money against issue of bank guarantees, etc.
- (iii) Current other financial assets include amount receivable from post-employment benefit funds **₹83.92** crore (March 31, 2025: ₹153.47 crore) on account of retirement benefit obligations paid by the Company directly.
- (iv) Non-current and current other financial assets include:
 - (a) lease receivable of **₹1,012.05** crore (March 31, 2025: ₹1,012.14 crore) recognised on account of long-term arrangement with a subsidiary on de-recognition of assets.
 - (b) advance paid in respect of de-allocated coal blocks of **₹487.71** crore (March 31, 2025: ₹487.71 crore) which is recoverable from the new allottee once the mine is allotted.

9. Income taxes

[Item No. IV(e), Page F24]

A. Income tax expenses/(benefit)

The Company is subject to income tax in India on the basis of its financial statements. The Company can claim tax exemptions/ deductions under specific sections of the Income Tax Act, 1961 subject to fulfilment of prescribed conditions, as may be applicable. The Company had opted for the new tax regime under Section 115BAA of the Act, which provides a domestic company with an option to pay tax at a rate of 22% (effective rate of 25.168%). The lower rate shall be applicable subject to certain conditions, including that the total income should be computed without claiming specific deduction or exemptions.

As per the tax laws, business loss can be carried forward for a maximum period of eight assessment years immediately succeeding the assessment year to which the loss pertains. Unabsorbed depreciation can be carried forward for an indefinite period.

The reconciliation of estimated income tax to income tax expense is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
	(₹ crore)	
Profit/(loss) before tax	21,353.10	18,718.84
Expected income tax expense at statutory income tax rate of 25.168% (2024-25: 25.168%)	5,374.15	4,711.16
(a) Income exempt from tax/items not deductible/adjustments on account of unrecognised tax losses/ other tax benefits	13.19	115.96
(b) Adjustments in respect of earlier years	(30.57)	-
(c) Tax on income at different rates	(75.79)	(95.73)
(d) Others	6.99	17.75
Tax expense as reported	5,287.97	4,749.14

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9. Income taxes (Contd.)

[Item No. IV(e), Page F24]

B. Deferred tax assets/(liabilities)

(i) Components of deferred tax assets and liabilities as at March 31, 2026 is as below:

(₹ crore)

	Balance as at April 1, 2025	Recognised/ (reversed) in profit and loss during the year	Recognised in other comprehensive income during the year	Balance as at March 31, 2026
Deferred tax assets:				
Investments	2,624.75	(99.72)	2.36	2,527.39
Retirement benefit obligations	134.09	(134.09)	(103.63)	(103.63)
Expenses allowable for tax purposes when paid/written off	2,832.82	122.91	-	2,955.73
Others	127.01	69.79	(30.54)	166.26
	5,718.67	(41.11)	(131.81)	5,545.75
Deferred tax liabilities:				
Property, plant and equipment and intangible assets	14,661.87	628.88	-	15,290.75
Loans	134.55	(134.55)	-	-
	14,796.42	494.33	-	15,290.75
Net deferred tax assets/(liabilities)	(9,077.75)	(535.44)	(131.81)	(9,745.00)
Disclosed as:				
Deferred tax liabilities (net)	(9,077.75)	-	-	(9,745.00)

Components of deferred tax assets and liabilities as at March 31, 2025 is as below:

	Balance as at April 1, 2024	Recognised/ (reversed) in profit and loss during the year	Recognised in other comprehensive income during the year	Balance as at March 31, 2025
Deferred tax assets:				
Investments	2,710.35	(61.87)	(23.73)	2,624.75
Retirement benefit obligations	134.09	-	-	134.09
Expenses allowable for tax purposes when paid/written off	3,628.80	(795.98)	-	2,832.82
Others	112.18	(16.78)	31.61	127.01
	6,585.42	(874.63)	7.88	5,718.67
Deferred tax liabilities:				
Property, plant and equipment and intangible assets	14,635.46	26.41	-	14,661.87
Loans	51.96	82.59	-	134.55
	14,687.42	109.00	-	14,796.42
Net deferred tax assets/(liabilities)	(8,102.00)	(983.63)	7.88	(9,077.75)
Disclosed as:				
Deferred tax liabilities (net)	(8,102.00)			(9,077.75)

(ii) Deferred tax assets amounting to **₹7,967.37** crore as at March 31, 2026 (March 31, 2025: ₹7,967.37 crore) on fair value adjustment recognised in respect of investments held in a subsidiary on transition to Ind AS has not been recognised due to uncertainty surrounding availability of future taxable income (capital gain) against which such loss can be offset.

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10. Other assets

[Item No. I(j) and II(c), Page F24]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Capital advances		
Considered good - Unsecured	842.28	678.15
Considered doubtful - Unsecured	107.79	90.78
Less: Provision for doubtful advances	107.79	90.78
	842.28	678.15
(b) Advances with public bodies		
Considered good - Unsecured	2,003.83	1,983.26
Considered doubtful - Unsecured	309.28	309.28
Less: Provision for doubtful advances	309.28	309.28
	2,003.83	1,983.26
(c) Capital advances to related parties		
Considered good - Unsecured	61.44	38.49
(d) Other		
Considered good - Unsecured	134.94	96.57
Considered doubtful - Unsecured	43.68	43.68
Less: Provision for doubtful advances	43.68	43.68
	134.94	96.57
	3,042.49	2,796.47

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Advances with public bodies		
Considered good - Unsecured	3,294.49	2,701.01
Considered doubtful - Unsecured	3.52	3.63
Less: Provision for doubtful advances	3.52	3.63
	3,294.49	2,701.01
(b) Advances to related parties		
Considered good - Unsecured	97.96	39.82
(c) Others		
Considered good - Unsecured	790.71	890.44
Considered doubtful - Unsecured	212.82	209.50
Less: Provision for doubtful advances	212.82	209.50
	790.71	890.44
	4,183.16	3,631.27

- (i) Advance with public bodies primarily relate to input credit entitlements and amounts paid under protest in respect of demands and claims from regulatory authorities.
- (ii) Non-current and current other advances (net of provision) include advances against supply of goods/services ₹1,088.84 crore (March 31, 2025: ₹1,167.90 crore).

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11. Inventories

[Item No. II(a), Page F24]

	As at March 31, 2026	As at March 31, 2025
(a) Raw materials	10,329.28	10,385.28
(b) Finished and semi-finished goods	8,211.86	7,836.90
(c) Stock-in-trade	31.23	41.16
(d) Stores and spares	4,486.79	4,670.51
	23,059.16	22,933.85
Included above, goods-in-transit:[^]		
(i) Raw materials	2,312.89	1,678.11
(ii) Finished and semi-finished goods	2.83	10.04
(iii) Stores and spares	47.82	108.55
	2,363.54	1,796.70

[^]Goods-in-transit represent amount of purchased material which are in transit as on date.

- (i) Value of inventories above is stated after provisions (net of reversal) **₹259.79** crore (March 31, 2025: ₹199.50 crore) for write-downs to net realisable value and provision for slow-moving and obsolete items.
- (ii) The cost of inventories recognised as expense **₹54.37** crore (March 31, 2025: ₹17.92 crore) in respect of write-down of inventory to net realisable value.

12. Trade receivables

[Item No. II(b)(ii), Page F24]

	As at March 31, 2026	As at March 31, 2025
(a) Considered good - Unsecured	1,674.59	1,620.64
(b) Credit impaired	185.88	175.73
	1,860.47	1,796.37
Less: Allowance for credit losses	228.82	230.72
	1,631.65	1,565.65

In determining allowance for credit losses of trade receivables, the Company has used the practical expedient by computing the expected credit loss allowance based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on ageing of receivables and the rates used in provision matrix.

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12. Trade receivables (Contd.)

[Item No. II(b)(ii), Page F24]

(i) Movement in allowance for credit losses of receivables is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	230.72	259.52
Charge/(release) during the year	(1.90)	(28.80)
Balance at the end of the year	228.82	230.72

(₹ crore)

(ii) Ageing of trade receivables and credit risk arising therefrom is as below:

As at March 31, 2026

	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months- 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed - considered good	1,039.75	259.40	151.91	116.58	25.92	81.03	1,674.59
Undisputed - credit impaired	0.35	5.03	1.70	4.17	14.33	104.93	130.51
Disputed - considered good	-	-	-	-	-	-	-
Disputed - credit impaired	-	-	-	2.01	-	53.36	55.37
	1,040.10	264.43	153.61	122.76	40.25	239.32	1,860.47
Expected loss rate	0.53%	5.23%	5.51%	3.62%	13.37%	9.61%	
Less: Allowance for credit losses	5.89	18.58	10.07	10.40	17.80	166.08	228.82
Total trade receivables	1,034.21	245.85	143.54	112.36	22.45	73.24	1,631.65

(₹ crore)

As at March 31, 2025

	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months- 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed - considered good	1,107.24	353.59	26.73	44.91	36.56	51.61	1,620.64
Undisputed - credit impaired	0.31	1.90	2.22	11.88	77.61	26.76	120.68
Disputed - considered good	-	-	-	-	-	-	-
Disputed - credit impaired	-	-	-	2.02	-	53.03	55.05
	1,107.55	355.49	28.95	58.81	114.17	131.40	1,796.37
Expected loss rate	0.74%	9.59%	9.43%	8.51%	4.51%	9.59%	
Less: Allowance for credit losses	8.47	35.80	4.74	17.71	79.26	84.74	230.72
Total trade receivables	1,099.08	319.69	24.21	41.10	34.91	46.66	1,565.65

(₹ crore)

(iii) The Company considers its maximum exposure to credit risk with respect to customers as at March 31, 2026 to be ₹1,631.65 crore (March 31, 2025: ₹1,565.65 crore), which is the carrying value of trade receivables after allowance for credit losses.

The Company's exposure to customers is diversified. As at March 31, 2026 and March 31, 2025, no single customer contributes more than 10% of the outstanding receivables.

(iv) There are no outstanding receivables due from directors or other officers of the Company.

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13. Cash and cash equivalents

[Item No. II(b)(iii), Page F24]

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
(a) Cash on hand	0.69	0.72
(b) Cheques, drafts on hand	0.45	2.68
(c) Remittances in-transit	400.23	356.17
(d) Unrestricted balances with banks	2,511.42	2,752.36
	2,912.79	3,111.93

- (i) Cash and bank balances are denominated and held in Indian Rupees.

14. Other balances with banks

[Item No. II(b)(iv), Page F24]

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Other balances with banks	191.60	1,032.69
	191.60	1,032.69

- (i) Other balances with banks include earmarked balances of **₹191.60** crore (March 31, 2025: ₹1,029.90 crore) which primarily includes balances held for unpaid dividends **₹130.70** crore (March 31, 2025: ₹118.52 crore), amount held back against the consideration payable for acquisition of a subsidiary **Nil** (March 31, 2025: ₹774.95 crore) and towards margin money for bank guarantee and others **₹60.90** crore (March 31, 2025: ₹136.43 crore).
- (ii) Balances with banks are denominated and held in Indian Rupees.

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15. Equity share capital

[Item No. III(a), Page F24]

		(₹ crore)	
		As at March 31, 2026	As at March 31, 2025
Authorised:			
2,60,19,50,00,000[#]	Ordinary Shares of ₹1 each	26,019.50	26,019.50
	(March 31, 2025: 2,60,19,50,00,000 Ordinary Shares of ₹1 each)		
35,00,00,000	'A' Ordinary Shares of ₹10 each*	350.00	350.00
	(March 31, 2025: 35,00,00,000 'A' Ordinary Shares of ₹10 each)		
2,50,00,000	Cumulative Redeemable Preference Shares of ₹100 each*	250.00	250.00
	(March 31, 2025: 2,50,00,000 Shares of ₹100 each)		
60,00,00,000	Cumulative Convertible Preference Shares of ₹100 each*	6,000.00	6,000.00
	(March 31, 2025: 60,00,00,000 Shares of ₹100 each)		
		32,619.50	32,619.50
Issued:			
12,49,64,11,091	Ordinary Shares of ₹1 each	1,249.64	1,249.64
	(March 31, 2025: 12,49,64,11,091 Ordinary Shares of ₹1 each)		
		1,249.64	1,249.64
Subscribed and paid up:			
12,48,35,31,541**	Ordinary Shares of ₹1 each fully paid up	1,248.35	1,248.35
	(March 31, 2025: 12,48,35,31,541 Ordinary Shares of ₹1 each)		
	Amount paid up on 58,11,460 Ordinary Shares of ₹1 each forfeited	0.25	0.25
	(March 31, 2025: 58,11,460 Ordinary Shares of ₹1 each)		
		1,248.60	1,248.60

[#]During the year ended March 31, 2025, the Company's authorised share capital has increased, with requisite regulatory approvals because of the mergers given effect in earlier years.

* 'A' Ordinary Shares and Preference Shares included within the authorised share capital are for disclosure purposes and have not yet been issued by the Company as on March 31, 2026.

** Includes 4,370 equity shares of ₹1 each, on which first and final call money has been received and the partly paid-up equity shares have been converted to fully paid-up equity shares but, are pending final listing and trading approval under the ISIN INE081A01020 (for fully paid shares), and hence, continue to be listed under the ISIN IN9081A01010 (for partly paid shares) as on March 31, 2026.

- (i) Subscribed and paid-up capital includes **1,16,83,930** (March 31, 2025: 1,16,83,930) Ordinary Shares of ₹1 each, held by Rujuvalika Investments Limited, wholly-owned subsidiary of the Company.

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15. Equity share capital (Contd.)

[Item No. III(a), Page F24]

(ii) Details of movement in subscribed and paid-up share capital is as below:

(₹ crore)

	Year ended March 31, 2026		Year ended March 31, 2025	
	No. of shares	₹ crore	No. of shares	₹ crore
Ordinary Shares				
Balance at the beginning of the year	12,48,35,31,541	1,248.35	12,48,35,31,541	1,248.35
Balance at the end of the year	12,48,35,31,541	1,248.35	12,48,35,31,541	1,248.35

(iii) As on March 31, 2026, **29,27,850** (March 31, 2025: 29,27,850) Ordinary Shares of face value ₹1 each are kept in abeyance in respect of Rights issue of 2007. As on March 31, 2026, **17,97,930** (March 31, 2025: 17,97,930) Ordinary Shares of face value ₹1 each are kept in abeyance in respect of Rights Issue of 2018.

(iv) Details of shareholders holding more than 5% shares in the Company are as below:

(₹ crore)

	As at March 31, 2026		As at March 31, 2025	
	No. of ordinary shares	% held	No. of ordinary shares	% held
Name of shareholders				
(a) Tata Sons Private Limited	3,96,50,81,420	31.76	3,96,50,81,420	31.76
(b) Life Insurance Corporation of India	86,43,62,822	6.92	97,47,51,078	7.81

(v) Details of promoters' shareholding in the Company are as below:

(₹ crore)

	As at March 31, 2026		As at March 31, 2025	
	No. of ordinary shares	% held	No. of ordinary shares	% held
Name of promoter shareholder				
Tata Sons Private Limited	3,96,50,81,420	31.76	3,96,50,81,420	31.76

(vi) **5,95,29,020** shares (March 31, 2025: 6,11,55,380 shares) of face value of ₹1 per share represent the shares underlying GDRs which were issued during 1994 and 2009. Each GDR represents one underlying Ordinary Share.

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15. Equity share capital (Contd.)

[Item No. III(a), Page F24]

(vii) The rights, powers and preferences relating to each class of share capital and the qualifications, limitations and restrictions thereof are contained in the Memorandum and Articles of Association of the Company. The principal rights are as follows:

A. Ordinary Shares of ₹1 each

- (i) In respect of every Ordinary Share (whether fully paid or partly paid), voting right and dividend shall be in the same proportion as the capital paid up on such Ordinary Share bears to the total paid up Ordinary Capital of the Company.
- (ii) The dividend proposed by the Board of Directors is subject to the approval of the Shareholders in the ensuing Annual General Meeting, except in case of interim dividend.
- (iii) In the event of liquidation, the Shareholders of Ordinary Shares are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

B. 'A' Ordinary Shares of ₹10 each

- (i) (a) The holders of 'A' Ordinary Shares shall be entitled to such rights of voting and/or dividend and such other rights as per the terms of the issue of such shares, provided always that:
 - › in the case where a resolution is put to vote on a poll, such differential voting entitlement (excluding fractions, if any) will be applicable to holders of 'A' Ordinary Shares.
 - › In the case where a resolution is put to vote in the meeting and is to be decided on a show of hands, the holders of 'A' Ordinary Shares shall be entitled to the same number of votes as available to holders of Ordinary Shares.
- (b) The holders of Ordinary Shares and the holders of 'A' Ordinary Shares shall vote as a single class with respect to all matters submitted for voting by shareholders of the Company and shall exercise such votes in proportion to the voting rights attached to such shares including in relation to any scheme under Sections 391 to 394 of the Companies Act, 1956.
- (ii) The holders of 'A' Ordinary Shares shall be entitled to dividend on each 'A' Ordinary Share which may be equal to or higher than the amount per Ordinary Share declared by the Board for each Ordinary Share, and as may be specified at the time of the issue. Different series of 'A' Ordinary Shares may carry different entitlements to dividend to the extent permitted under applicable law and as prescribed under the terms applicable to such issue.

C. Preference Shares

The Company has two classes of preference shares i.e. Cumulative Redeemable Preference Shares (CRPS) of ₹100 per share and Cumulative Convertible Preference Shares (CCPS) of ₹100 per share.

- (i) Such shares shall confer on the holders thereof, the right to a fixed preferential dividend from the date of allotment, at a rate as may be determined by the Board at the time of the issue, on the capital for the time being paid up or credited as paid up thereon.
- (ii) Such shares shall rank for capital and dividend (including all dividend undeclared upto the commencement of winding up) and for repayment of capital in a winding up, pari passu inter se and in priority to the Ordinary Shares of the Company, but shall not confer any further or other right to participate either in profits or assets. However, in case of CCPS, such preferential rights shall automatically cease on conversion of these shares into Ordinary Shares.
- (iii) The holders of such shares shall have the right to receive all notices of general meetings of the Company but shall not confer on the holders thereof the right to vote at any meetings of the Company save to the extent and in the manner provided in the Companies Act, 1956, or any re-enactment thereof.
- (iv) CCPS shall be converted into Ordinary Shares as per the terms, determined by the Board at the time of issue; as and when converted, such Ordinary Shares shall rank pari passu with the then existing Ordinary Shares of the Company in all respects.